

“I hope you know what you’re doing,” says the Person Who Doesn’t Understand the Serious Business of Money. “Remember Havalight Photo Cell? That sure thing went from seven dollars to three dollars and fifty cents. We lost fifteen hundred dollars.”

“Yeah, but that was Havalight. This is Winchester. *The Wall Street Journal* calls disk drives one of the major growth industries of this decade. Why should we be the only ones not to get in on it?”

The rest of the story is easy to imagine. Winchester Disk Drives has a bad quarter, or there’s unexpected competition in the disk drive industry, and the stock price drops from \$10 to \$5. Since the Designated Investor has no possible way to understand what any of this means, he decides the prudent thing is to sell out, delighted that he only lost another \$1,500—or a little more than five sets of Jennifer’s wardrobes.

Meanwhile, unbeknownst to Houndstooth, the stock price of The Limited, the store that impressed his wife, Henrietta, has been moving steadily higher, from less than 50 cents a share (adjusted for splits) in December, 1979, to \$9 in 1983—already a twentybagger to there—and even if he’d bought it at the \$9 price (and suffered through one drop back to \$5), he’d have made more than five times his money as the stock soared to \$52 $\frac{7}{8}$. That’s over a 100-bagger from the beginning, so if Houndstooth had invested \$10,000 early enough, he would have made over a million dollars on the stock.

More realistically, if Mrs. Houndstooth had matched the \$275 she put into the wardrobe with another \$275 put into the stock, it’s conceivable that even her tiny investment would have paid for a semester’s tuition for her daughter.

But our Designated Investor, who had plenty of time to buy into The Limited even after he sold out on Winchester, continued to ignore the great spousal tip. By then there were four hundred Limited stores in the country, and most of them crowded, but Houndstooth was too busy to notice. He was following what Boone Pickens was doing with Mesa Petroleum.

Sometime near the end of 1987, and probably just before the 508-point jiggle, Houndstooth finally discovers that The Limited is on his brokerage firm’s buy list. Furthermore, there have been promising articles in three different magazines, the stock has become a darling of the big institutions, and there are thirty analysts on the trail. It occurs to the Designated Investor that this is a solid, respectable buy.

“Funny thing,” he mutters one day to his wife. “Remember that store you like, The Limited? Turns out to be a public company. That means we can buy the stock. Pretty good stock, to boot, judging by the special I just saw on PBS. I heard *Forbes* even had a cover story on it. Anyway, the smart money can’t get enough of it. Gotta be worth at least a couple of thousand from the retirement